

LaBRANCHE & CO INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF FINANCIAL CONDITION
(000's omitted, except share data)

	December 31,	
	2008	2007
ASSETS		
Cash and cash equivalents	\$ 304,179	\$ 504,654
Cash and securities segregated under federal regulations	1,876	1,573
Receivable from brokers, dealers and clearing organizations	91,354	343,729
Financial instruments owned, at fair value	3,175,968	4,267,395
Commissions and other fees receivable	—	23
Exchange memberships owned, at adjusted cost (fair value of \$3,910 and \$7,465, respectively)	1,202	1,315
Office equipment and leasehold improvements, at cost, less accumulated depreciation and amortization of \$14,362 and \$10,990, respectively	16,522	17,652
Intangible assets, net of accumulated amortization:		
Trade name	25,011	25,011
Goodwill	84,218	84,218
Income tax receivable	—	11,802
Other assets	31,285	41,219
Total assets	<u>\$3,731,615</u>	<u>\$5,298,591</u>
LIABILITIES AND STOCKHOLDERS' EQUITY		
Liabilities:		
Payable to brokers, dealers and clearing organizations	\$ 105,037	\$ 104,759
Payable to customers	36	93
Financial instruments sold, but not yet purchased, at fair value	2,855,420	4,062,995
Accrued compensation	75,747	16,729
Accounts payable and other accrued expenses	29,179	36,980
Other liabilities	12,840	12,583
Income tax payable	5,834	—
Deferred tax liabilities	5,349	71,024
Short-term debt	—	5,700
Long-term debt	199,323	459,811
Total liabilities	<u>3,288,765</u>	<u>4,770,674</u>
Commitments and Contingencies		
Common stock, \$.01 par value, 200,000,000 shares authorized; 62,011,881 shares issued, 58,196,574 shares outstanding at December 31, 2008 and 61,490,638 shares issued and outstanding December 31, 2007	620	615
Treasury stock, at cost, 3,815,307 shares at December 31, 2008	(16,369)	—
Additional paid-in capital	702,475	699,099
Accumulated deficit	(236,771)	(170,808)
Accumulated other comprehensive loss	(7,105)	(989)
Total stockholders' equity	<u>442,850</u>	<u>527,917</u>
Total liabilities and stockholders' equity	<u>\$3,731,615</u>	<u>\$5,298,591</u>

See accompanying notes to consolidated financial statements.

LaBRANCHE & CO INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF OPERATIONS
(000's omitted, except per share data)

	For the Years Ended December 31,		
	2008	2007	2006
REVENUES:			
Net gain on principal transactions	\$ 301,436	\$ 184,999	\$180,850
Commissions and other fees	44,607	46,940	69,814
Net (loss) gain on investments	(193,481)	(16,866)	238,680
Interest income	68,527	230,060	184,177
Other	3,060	3,590	473
Total revenues	<u>224,149</u>	<u>448,723</u>	<u>673,994</u>
Interest expense:			
Debt	31,696	50,405	53,919
Inventory financing	87,530	252,767	186,578
Total interest expense	<u>119,226</u>	<u>303,172</u>	<u>240,497</u>
Revenues, net of interest expense	<u>104,923</u>	<u>145,551</u>	<u>433,497</u>
EXPENSES:			
Employee compensation and related benefits	133,172	80,205	88,370
Exchange, clearing and brokerage fees	46,642	37,448	45,711
Lease of exchange memberships and trading license fees	1,673	2,401	4,790
Depreciation and amortization	3,679	9,166	12,674
Legal and professional fees	4,305	8,036	9,595
Communications	10,099	11,353	9,701
Occupancy	5,027	6,792	7,925
Goodwill impairment	—	164,100	—
Stock list impairment	—	335,264	—
Restructuring costs	—	1,083	3,672
Early extinguishment of debt	5,395	—	—
Other	9,311	11,428	14,046
Total expenses	<u>219,303</u>	<u>667,276</u>	<u>196,484</u>
(Loss) income before (benefit) provision for income taxes	(114,380)	(521,725)	237,013
(Benefit) provision for income taxes	(48,417)	(171,251)	100,209
Net (loss) income	<u>\$ (65,963)</u>	<u>\$(350,474)</u>	<u>\$136,804</u>
Weighted-average common shares outstanding:			
Basic	61,418	61,426	60,723
Diluted	61,418	61,426	61,565
(Loss) earnings per common share:			
Basic	\$ (1.07)	\$ (5.71)	\$ 2.25
Diluted	\$ (1.07)	\$ (5.71)	\$ 2.22

See accompanying notes to consolidated financial statements.

LaBRANCHE & CO INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN
STOCKHOLDERS' EQUITY AND COMPREHENSIVE LOSS
(000's omitted)

	<u>Common Stock</u>		<u>Treasury Stock</u>	<u>Additional Paid-in Capital</u>	<u>Retained Earnings/ (Accumulated Deficit)</u>	<u>Accumulated Other Comprehensive Loss</u>	<u>Total</u>
	<u>Shares</u>	<u>Amount</u>					
BALANCES, January 1, 2006	<u>60,624</u>	<u>\$ 606</u>	<u>\$ —</u>	<u>\$689,988</u>	<u>\$ 42,862</u>	<u>\$ —</u>	<u>\$ 733,456</u>
Net income	—	—	—	—	136,804	—	136,804
Issuance of restricted stock, shares for option exercises and related compensation, including excess tax benefit of \$61	110	1	—	4,446	—	—	4,447
BALANCES, December 31, 2006	<u>60,734</u>	<u>\$ 607</u>	<u>\$ —</u>	<u>\$694,434</u>	<u>\$ 179,666</u>	<u>\$ —</u>	<u>\$ 874,707</u>
Net loss	—	—	—	—	(350,474)	—	(350,474)
Other comprehensive loss:							
Cumulative translation adjustment, net of taxes	—	—	—	—	—	(989)	(989)
Comprehensive loss							(351,463)
Issuance of restricted stock, shares for option exercises and related compensation, including excess tax benefit of \$99	757	8	—	4,665	—	—	4,673
BALANCES, December 31, 2007	<u>61,491</u>	<u>\$ 615</u>	<u>\$ —</u>	<u>\$699,099</u>	<u>\$ (170,808)</u>	<u>\$ (989)</u>	<u>\$ 527,917</u>
Net loss	—	—	—	—	(65,963)	—	(65,963)
Other comprehensive loss:							
Cumulative translation adjustment, net of taxes	—	—	—	—	—	(6,116)	(6,116)
Comprehensive loss							(72,079)
Purchase of treasury stock	(3,815)	—	(16,369)	—	—	—	(16,369)
Issuance of restricted stock, shares for option exercises and related compensation	521	5	—	3,376	—	—	3,381
BALANCES, December 31, 2008	<u>58,197</u>	<u>\$ 620</u>	<u>\$(16,369)</u>	<u>\$702,475</u>	<u>\$ (236,771)</u>	<u>\$ (7,105)</u>	<u>\$ 442,850</u>

See accompanying notes to consolidated financial statements.

LaBRANCHE & CO INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
(000's omitted)

	For the Years Ended December 31,		
	2008	2007	2006
CASH FLOWS FROM OPERATING ACTIVITIES:			
Net (loss) income	\$ (65,963)	\$(350,474)	\$ 136,804
Adjustments to reconcile net (loss) income to net cash (used in) provided by operating activities:			
Depreciation and amortization	3,679	9,166	12,674
Amortization of debt issuance costs and bond discount	1,177	2,023	1,928
Charge on early extinguishment of debt	5,395	—	—
Gain on sale of exchange membership	(331)	—	—
Share-based compensation expense	4,177	4,673	4,447
Deferred tax (benefit) expense	(64,005)	(162,657)	97,961
Goodwill impairment	—	164,100	—
Stock list impairment	—	335,264	—
Changes in operating assets and liabilities:			
Cash and securities segregated under federal regulations	(303)	5,840	(859)
Securities purchased under agreements to resell	—	35,000	44,000
Receivable from brokers, dealers and clearing organizations	252,375	(256,546)	509,613
Receivable from customers	—	2,859	800
Financial instruments owned, at fair value	1,091,537	(277,969)	(2,129,196)
Commissions and other fees receivable	23	3,578	736
Income tax receivable	11,006	(6,353)	—
Other assets	9,803	(15,756)	(16,070)
Payable to brokers and dealers and clearing organizations	278	(18,587)	105,535
Payable to customers	(57)	(4,723)	(42)
Financial instruments sold, but not yet purchased, at fair value	(1,207,575)	494,632	1,392,389
Accrued compensation	59,018	4,702	(10,695)
Accounts payable and other accrued expenses	(7,801)	7,760	8,087
Other liabilities	(1,413)	(2,592)	3,316
Excess tax benefit from vesting of stock based compensation	—	(99)	(61)
Income taxes payable	5,834	—	(10,513)
Net cash provided by (used in) operating activities	<u>96,854</u>	<u>(26,159)</u>	<u>150,854</u>
CASH FLOWS FROM INVESTING ACTIVITIES:			
Payments for purchases of office equipment and leasehold improvements	(2,549)	(3,560)	(17,672)
Payments for purchases of exchange memberships	—	(1)	(150)
Proceeds from sale of exchange membership	334	—	—
Proceeds from sale of business unit	—	2,250	—
Net cash used in investing activities	<u>(2,215)</u>	<u>(1,311)</u>	<u>(17,822)</u>
CASH FLOWS FROM FINANCING ACTIVITIES:			
Principal payments of short term debt	(174,813)	(6,395)	(3,025)
Early extinguishment of long term debt	(91,375)	(18,943)	—
Premium on early extinguishment of debt	(2,967)	—	—
Purchases of treasury stock	(16,369)	—	—
Excess tax benefit from vesting of stock based compensation	—	99	61
Net cash used in financing activities	<u>(285,524)</u>	<u>(25,239)</u>	<u>(2,964)</u>
Effect of exchange rate changes on cash and cash equivalents	(9,590)	11	—
(Decrease) increase in cash and cash equivalents	(200,475)	(52,698)	130,068
CASH AND CASH EQUIVALENTS, beginning of year	504,654	557,352	427,284
CASH AND CASH EQUIVALENTS, end of year	<u>\$ 304,179</u>	<u>\$ 504,654</u>	<u>\$ 557,352</u>
SUPPLEMENTAL DISCLOSURE OF CASH PAID DURING THE YEAR FOR:			
Interest	\$ 119,522	\$ 306,600	\$ 237,633
Income taxes	\$ 4,601	\$ 2,650	\$ 15,824